

Palm Hills Developments — valuation workbook

Edition of 30 August 2026. Supersedes 11 June 2026.

This workbook is for information and education. It is not investment advice and carries no rating and no price target.

BLUE cells are inputs and live on the Assumptions sheet. BLACK cells are formulas. Change a blue cell and the statements, the discounted cash flow and the value per

Reported history comes only from the company's own audited statements and its own results releases. Where a figure the valuation needs is not disclosed, it is absent and

The single most important number in this workbook is cash conversion — the share of revenue that reaches operating cash flow. The company does not disclose its collection

Summary

Every figure recomputes from Assumptions.

Lens

	Bear
Discounted cash flow	2.85
Book value of equity	5.91
Earnings multiple on own history	7.45
Normalised earnings power	4.72
Weighted central	4.60

Valuation

	Per share (EGP)
Weak cash conversion (3.9%)	4.29
Average cash conversion (8.7%)	14.86
Strong cash conversion (17.9%)	35.14
Average, alternative country-risk basis	16.71
 Market price, 23 Aug 2026	15.20
Book value of equity per share	6.56
Cash conversion implied by the market price	8.87%

Cost of capital

Weighted average, rating basis	26.25%
Weighted average, swap basis	25.24%
Previous edition used	18.00%

Base	Full value	Weight
	14.86	38.75
	6.56	8.53
	11.17	17.37
	5.17	5.72
	10.94	23.33
		0.45
		0.15
		0.20
		0.20
		1.00

Equity (EGP mn)	Enterprise value
12,270.00	31,759.00
42,510.00	61,999.00
100,485.00	119,975.00
47,786.00	67,276.00

Fundamental valuation — bridge to equity

All formulas; drivers live on Assumptions.

Present value of the explicit ten years	23,030.2
Present value of the terminal value	38,969.3
Enterprise value	61,999.5
less net debt	-24,133.2
plus investments in associates	3,611.6
plus investment property	1,032.5
Equity value	42,510.4
Shares outstanding (mn)	2,859.9
Value per share (EGP)	14.86
Terminal value as a share of enterprise value	63%

Assumptions — every blue cell is an input

Change one and the whole workbook recomputes.

Driver	Value
Cash conversion — central	8.71%
Cash conversion — weak	3.94%
Cash conversion — strong	17.87%
Gross margin	38.32%
Overheads as a share of revenue	17.60%
Price escalation	25.20%
Terminal growth	12.00%
Cost of capital	26.25%
Net debt (EGP mn)	24,133.2
Investments in associates (EGP mn)	3,611.6
Investment property (EGP mn)	1,032.5
Shares outstanding (mn)	2,859.9
Opening revenue (EGP mn)	36,169.3
Opening order book (EGP mn)	263,000.0
Units delivered, 2026	1,886
Units delivered, annual growth	15.00%
Revenue per delivered unit, 2026 (EGP mn)	21.29
Maintenance capital expenditure, share of revenue	1.00%

NOT DISCLOSED — absent by design, never estimated

cash flow statement detail

fy2025 results release

h1 2026 results

securitisation pricing

per project pricing

backlog cost to complete

Source

*mean of the three published cash-flow statements
2023 and 2025 outcome
2024 outcome
average of FY2025 and 1Q2026 as reported
FY2025 as reported
Egyptian consumer price inflation, three-year mean
below nominal growth, stated
built on the Fundamental Valuation and Peer sheets
gross borrowings less cash, FY2025 audited
FY2025 audited
FY2025 audited
FY2025
FY2025 audited
as at 31 March 2026
implied by the reported first quarter of 2026
the disclosed run of handovers, 1,308 / 1,281 / 1,500 / 2,000
FY2024 revenue over c. 2,000 units delivered, escalated
the building itself is inventory and sits in operating cash*

*The FY2025 cash-flow statement is published in its three totals only (operating EGP 1,424.2m)
PHD has published FY2025 consolidated statements but NO FY2025 full-year results release. '
As at this build date (30-Aug-2026) no 2Q/H1-2026 statements or release are posted to the res
The EGP 2.015bn securitisation of 4-Feb-2026 discloses tranche sizes, tenors and national-sca.
The company does not disclose per-project unit mix, average unit area, price per square metre
Remaining construction cost against the EGP 263bn backlog is not disclosed as a single figure*

1, investing EGP -4,031.7mn, financing EGP 5,628.8mn); no line-by-line statement is post
The release is where units sold, new sales, deliveries and construction spend are disclose
ult centre; the newest disclosure of any kind is 1Q2026 (posted 25-Jun-2026). The study
le ratings but NO coupon on any tranche, so the company's own marginal cost of debt can
or construction cost per square metre. The 11-Jun-2026 edition carried a full per-proj
. It is inferred in the model from the realised gross margin and flagged where used.

Bridge from enterprise value to equity

A developer is one business; the bridge is the parts that sit outside the operating cash flows.

Operating business, discounted cash flow	61,999.5
Investments in associates	3,611.6
Investment property	1,032.5
Cash	9,419.5
Gross borrowings	-33,552.7
Equity value	42,510.4
Per share (EGP)	14.86

Units and prices by region — the forecast's drivers

New sales value and unit counts are both disclosed per region; the price per unit is one divide

North Coast & Alexandria

Year	2020	2021
New sales (EGP mn)	4,205	7,139
Units sold	726	1,552
Price per unit (EGP mn)	5.79	4.60

carried forward at 2074 units, price 22.68, escalated

West Cairo & Badya

Year	2020	2021
New sales (EGP mn)	6,627	7,258
Units sold	858	1,416
Price per unit (EGP mn)	7.72	5.13

carried forward at 2609 units, price 15.70, escalated

East Cairo

Year	2020	2021
New sales (EGP mn)	1,947	2,892
Units sold	256	382
Price per unit (EGP mn)	7.61	7.57

carried forward at 949 units, price 25.09, escalated

Disclosed group drivers

Disclosed driver	Value	Note
New sales, 1Q2026 (EGP mn)	52,000	<i>includes EGP 24,000.</i>
New sales, FY2024 (EGP mn)	151,016	<i>chart series</i>
Order book, 31 Mar 2026 (EGP mn)	263,000	<i>units sold and not ye</i>
Order book, FY2024 (EGP mn)	147,000	
Units sold, FY2023	5,300	<i>the last year the com</i>
Units delivered, FY2023	1,500	
Construction spend, FY2024 (EGP mn)	8,500	
Cash collections, FY2024 (EGP mn)	25,400	
Land bank (mn sqm)	33.0	

Build level: SEGMENT, not unit.

The company discloses no per-project unit mix, unit area, price per square metre or construction cost per square metre. The forecast is built at the finest level the disclosure supports and the limit is

d by the other.

2022	2023	2024
5,627	13,900	95,082
800	1,231	4,192
7.03	11.29	22.68

2022	2023	2024
13,118	32,332	44,570
2,039	2,950	2,839
6.43	10.96	15.70

2022	2023	2024
7,265	13,270	11,364
1,194	1,200	453
6.08	11.06	25.09

mn from one land-plot launch

t delivered

pany disclosed a unit count

Relative and normalised measures

Revenue	17,462.1
Cash from operations	756.7
Cash conversion	4.3%
Price to book (market)	2.32
Book value per share (EGP)	6.56
Return on equity, 2025	25.3%

27,167.3	36,169.3
4,854.8	1,424.2
17.9%	3.9%

Discounted cash flow — central case

Units delivered times revenue per delivered unit, then every row a formula. Change a blue cell or

EGP million	2026	2027
Units delivered	1,886	2,168
Revenue per delivered unit	21.29	26.66
Revenue	40,148	57,805
Gross profit	15,386	22,152
Overheads	-7,066	-10,173
Operating cash flow	3,498	5,037
Maintenance capital expenditure	-401	-578
plus finance cost, after tax	2,594	2,594
Free cash flow to the firm	5,691	7,053
Discount factor	0.792	0.627
Present value	4,508	4,425
 Sum of the explicit years	 23,030	
Terminal value, discounted	38,969	
Enterprise value	61,999	

Assumptions and this recomputes.

2028	2029	2030
2,494	2,868	3,298
33.38	41.79	52.32
83,228	119,831	172,533
31,895	45,922	66,119
-14,648	-21,090	-30,365
7,252	10,442	15,034
-832	-1,198	-1,725
2,594	2,594	2,594
9,014	11,838	15,903
0.497	0.394	0.312
4,480	4,660	4,958

Income statement — built from units and prices

Gross margin is an OUTPUT of price per unit against cost per unit.

EGP mn unless stated	2026	2027
Units sold	5,633	5,633
New sales	139,999	175,279
Units delivered	1,886	2,168
Revenue per delivered unit	21.29	26.66
Revenue	40,148	57,805
Cost per delivered unit	13.13	16.44
Cost of revenue	24,762	35,653
Gross profit	15,386	22,152
Gross margin	38.3%	38.3%
Overheads	7,066	10,173
Operating profit	7,927	11,414
Finance cost	3,348	3,348
Profit before tax	4,580	8,066
Net profit	3,549	6,251
Earnings per share (EGP)	1.24	2.19
Order book, closing	362,852	480,326

2028	2029	2030
5,633	5,633	5,633
219,450	274,751	343,988
2,494	2,868	3,298
33.38	41.79	52.32
83,228	119,831	172,533
20.59	25.77	32.27
51,333	73,909	106,414
31,895	45,922	66,119
38.3%	38.3%	38.3%
14,648	21,090	30,365
16,433	23,661	34,067
3,348	3,348	3,348
13,086	20,313	30,719
10,141	15,743	23,807
3.55	5.50	8.32
616,548	771,468	942,924

Balance sheet — as reported, then forecast both ways

EGP million. Assets equal liabilities plus shareholders' funds in every reported and every forecast year.

AS REPORTED

Non-current assets	65,900.2	54,166.4
Current assets	106,229.6	69,270.9
Total assets	172,129.8	123,437.3
Current liabilities	105,099.0	74,496.9
Non-current liabilities	48,265.1	34,315.7
Total liabilities	153,364.1	108,812.6
Shareholders' funds	18,765.8	14,624.7
Check: assets less liabilities and equity	-0.10	0.00

FORECAST — IF CASH CONVERSION HOLDS

EGP mn unless stated	2026	2027
Trade and notes receivable	104,248	107,203
Work in progress	17,696	18,198
Other receivables and prepayments	13,014	13,383
Advances to suppliers	9,121	9,379
Cash and equivalents	12,516	16,975
Property and equipment	4,531	4,544
Other assets, held at the 2025 level	15,128	15,128
TOTAL ASSETS	176,254	184,810
Customer advances	69,848	71,828
Suppliers	3,834	3,943
Other creditors	5,158	5,304
Cheques under collection	2,471	2,541
Borrowings	33,553	33,553
Other liabilities, held at the 2025 level	39,075	39,075
TOTAL LIABILITIES	153,939	156,244
Shareholders' funds	22,315	28,566
TOTAL LIABILITIES AND EQUITY	176,254	184,810
Check: assets less liabilities and equity	0.000	0.000
Collection period, days	948	677
Work in progress, days of cost	261	186
Suppliers, days of cost	57	40
Customer advances, share of the order book	19.3%	15.0%
Net working capital	62,767	64,547
as a multiple of revenue	1.56	1.12

FORECAST — IF THE COLLECTION CYCLE HOLDS

EGP mn unless stated	2026	2027
Trade and notes receivable	114,897	165,429
Work in progress	19,504	28,081
Other receivables and prepayments	14,343	20,652
Advances to suppliers	10,052	14,473

Cash and equivalents	6,104	2,355
Property and equipment	4,531	4,544
Other assets, held at the 2025 level	15,128	15,128
TOTAL ASSETS	184,560	250,662
Customer advances	76,983	110,840
Suppliers	4,226	6,084
Other creditors	5,685	8,185
Cheques under collection	2,724	3,921
Borrowings	33,553	53,990
Other liabilities, held at the 2025 level	39,075	39,075
TOTAL LIABILITIES	162,245	222,096
Shareholders' funds	22,315	28,566
TOTAL LIABILITIES AND EQUITY	184,560	250,662
Check: assets less liabilities and equity	0.000	0.000
Collection period, days	1,045	1,045
Work in progress, days of cost	287	287
Suppliers, days of cost	62	62
Customer advances, share of the order book	21.2%	23.1%
Net working capital	69,179	99,604
as a multiple of revenue	1.72	1.72

The cycle as reported, both audited years

Collection period, days	1,045	1,035
Work in progress, days of cost	304	270
Suppliers, days of cost	66	70
Customer advances, share of the order book	26.4%	32.3%
Net working capital	62,324	42,239
as a multiple of revenue	1.72	1.55

2028	2029	2030
113,354	124,104	141,478
19,242	21,067	24,016
14,151	15,493	17,662
9,917	10,858	12,378
23,395	32,639	45,947
4,562	4,589	4,627
15,128	15,128	15,128
199,749	223,877	261,235
75,949	83,152	94,793
4,169	4,564	5,203
5,609	6,141	7,000
2,687	2,942	3,354
33,553	33,553	33,553
39,075	39,075	39,075
161,041	169,426	182,978
38,708	54,451	78,258
199,749	223,877	261,235
0.000	0.000	0.000
497	378	299
137	104	82
30	23	18
12.3%	10.8%	10.1%
68,250	74,723	85,183
0.82	0.62	0.49

2028	2029	2030
238,184	342,938	493,762
40,432	58,213	83,816
29,734	42,811	61,640
20,839	30,004	43,199

2,355	2,355	2,355
4,562	4,589	4,627
15,128	15,128	15,128
351,234	496,038	704,527
159,588	229,774	330,829
8,760	12,613	18,160
11,785	16,969	24,431
5,646	8,129	11,705
87,673	135,028	202,069
39,075	39,075	39,075
312,527	441,588	626,269
38,708	54,451	78,258
351,234	496,038	704,527
0.000	0.000	0.000
1,045	1,045	1,045
287	287	287
62	62	62
25.9%	29.8%	35.1%
143,410	206,482	297,292
1.72	1.72	1.72

Cash flow — forecast, both readings

The audited balance sheet and the audited cash-flow statement disagree about 2025 by EGP 16,938 mil

IF CASH CONVERSION HOLDS — the basis of the valuation

EGP mn unless stated	2026	2027
Net profit	3,549	6,251
Depreciation and amortisation	393	565
Change in working capital, cash effect	-444	-1,780
Cash from operations	3,498	5,037
as a share of revenue	8.7%	8.7%
Capital expenditure	-401	-578
New borrowing drawn	0	0
Cash from financing	0	0
Closing cash	12,516	16,975
Cumulative new borrowing	0	0

IF THE COLLECTION CYCLE HOLDS

EGP mn unless stated	2026	2027
Net profit	3,549	6,251
Depreciation and amortisation	393	565
Change in working capital, cash effect	-6,856	-30,425
Cash from operations	-2,914	-23,608
as a share of revenue	-7.3%	-40.8%
Capital expenditure	-401	-578
New borrowing drawn	0	20,437
Cash from financing	0	20,437
Closing cash	6,104	2,355
Cumulative new borrowing	0	20,437

Cash conversion, the three published years

FY2023	4.33%
FY2024	17.87%
FY2025	3.94%
mean, carried above	8.71%

lion, and that difference cannot be split from what is disclosed. So the forecast is published two wa

2028	2029	2030
10,141	15,743	23,807
814	1,172	1,687
-3,703	-6,473	-10,461
7,252	10,442	15,034
8.7%	8.7%	8.7%
-832	-1,198	-1,725
0	0	0
0	0	0
23,395	32,639	45,947
0	0	0

2028	2029	2030
10,141	15,743	23,807
814	1,172	1,687
-43,806	-63,072	-90,811
-32,850	-46,157	-65,316
-39.5%	-38.5%	-37.9%
-832	-1,198	-1,725
33,683	47,355	67,041
33,683	47,355	67,041
2,355	2,355	2,355
54,120	101,475	168,517

ys and neither is averaged into the other.

Summary financials, as reported

EGP million

Revenue	17,462.1
Cost of revenue	-11,907.2
Gross profit	5,507.6
Overheads	-2,060.5
Finance cost	
Pre-tax profit	2,300.7
Tax	-567.3
Profit after tax and minority	1,581.5
Cash from operations	756.7
Cash from operations, share of revenue	Err:522

27,167.3	36,169.3
-17,739.9	-21,118.9
9,330.1	14,887.6
-3,435.8	-6,365.6
-2,311.4	-3,347.5
4,320.6	6,251.1
-917.1	-1,827.2
3,254.9	4,216.7
4,854.8	1,424.2
Err:522	Err:522

Price distribution — published output, reproduced not re-de

This is the price engine's distribution, independent of the valuation.

Percentile		
5th	13.08	11.98
25th	14.67	14.61
50th	15.64	16.34
75th	16.68	18.27
95th	18.71	22.26
Resolved three-month tests	57	
Inside the 90% band	91.2%	
Inside the middle band	50.9%	
Band width vs a random wa	1.47	

erived

Value per share against the two things that move it

Read down a column: cash conversion moves value more than the discount rate does.

Cash conversion	22.25%	24.25%	26.25%
3.9%	8.89	6.21	4.29
6.0%	15.56	11.65	8.86
8.7%	24.33	18.81	14.86
12.0%	34.95	27.48	22.14
17.9%	53.92	42.96	35.14

28.25%	30.25%
2.85	1.72
6.76	5.13
11.91	9.62
18.14	15.05
29.28	24.75

Per share and ratios

Shares outstanding (mn)	2,859.9
Market price (EGP)	15.20
Book value per share (EGP)	6.56
Price to book	2.32
Earnings per share, 2025 (EGP)	1.47
Net debt per share (EGP)	8.44
Order book per share (EGP)	91.96
Gross margin, 2025	41.2%
Cash conversion, 2025	3.9%

Egyptian listed developers

Every measure on the same window, the same cleaning and the same index.

Code	Company	Beta	R-squared
TMGH	Talaat Moustafa Group Holding	1.4718	32.6%
PHDC	Palm Hills Developments	1.0493	29.9%
ORHD	Orascom Development Egypt	0.8837	32.1%
HELI	Heliopolis Housing and Development	0.7653	28.8%
EMFD	Emaar Misr for Development	0.7388	24.4%
PRDC	Pioneers Properties for Urban Developmer	0.7067	25.8%
OCDI	Sixth of October Development & Investme	0.4938	10.3%

*multiple
would
mislead.*

Std error	Volatility	Worst fall
0.185	43.9%	-44.2%
0.182	43.9%	-48.7%
0.173	46.4%	-42.9%
0.182	44.4%	-39.6%
0.169	41.1%	-47.1%
0.186	42.2%	-52.0%
0.224	47.1%	-46.6%